

Theory of Contracts

Freedom, exchange and the foundations of a binding agreement

Why does the law enforce a promise to pay for a bicycle, while a casual promise to give a friend a present normally raises different questions? Contract theory helps explain the ideas behind the rules: voluntary commitment, exchange and the reliability of agreed obligations.

This guide introduces the **classical model of contract**, especially associated with nineteenth-century legal thought. English contract law has much older roots. The classical model is a way of understanding the subject; it is not a claim that every modern transaction fits one simple formula.

1 What is a contract?

A **contract** is an agreement recognised by law as creating enforceable obligations. An **obligation** is something a party is legally required to do or refrain from doing. A **term** states part of the bargain, such as the price, delivery date or service promised.

For example, a translator agrees to translate a report for £200. One party promises the translation; the other promises payment. If a party fails to perform, the other may have a legal remedy, depending on the circumstances.

2 Two central ideas

IDEA	PLAIN ENGLISH EXPLANATION
Freedom of contract	Parties generally choose whether to contract, with whom, and on what terms, subject to legal limits.
Exchange	A promise is supported by something given or promised in return. The exchange need not have equal market value.

3 Theory and legal requirements

These ideas help explain legal rules, but they are not a complete formation checklist. For an ordinary simple contract, the law generally requires agreement, consideration and intention to create legal relations. Questions of capacity, certainty, lawful purpose and any required formalities may also arise.

Agreement often takes the form of offer and acceptance. **Consideration** is something of value given or promised in exchange. **Intention to create legal relations** concerns whether the arrangement is intended to carry legal obligations.

A contract need not always be signed or written down. Many everyday contracts arise through spoken words or conduct, although particular transactions require a specified form.

Freedom of Contract

4 Choosing the bargain

The classical model emphasises the parties' ability to decide whether to make an agreement, who their contractual partner will be and what obligations to undertake. It treats their agreement as an important reason for enforcing the resulting duties.

A language tutor and a student may agree on a lesson fee, lesson length and cancellation arrangements. They can make those choices together, within the rules applicable to their transaction.

CHOICE	ILLUSTRATIVE TERM
What is supplied?	Four individual English lessons.
What is paid?	£30 for each lesson.
When is performance due?	Every Tuesday at 4 p.m., starting next week.
What happens if plans change?	An agreed cancellation procedure, subject to applicable law.

5 Freedom has legal limits

Parties cannot make every term enforceable simply by agreeing to it. Contract law considers whether consent was affected by matters such as improper pressure or a misleading statement. **Capacity** concerns a person's legal ability to undertake contractual obligations. Unlawful arrangements and mandatory statutory rules can also limit enforcement.

In consumer transactions, legal protections can restrict the terms a business imposes. Under section 62 of the Consumer Rights Act 2015, an unfair term is not binding on the consumer. The statutory test concerns, among other things, significant imbalance contrary to good faith and to the consumer's detriment.

This does not mean that every expensive purchase or disappointing bargain is automatically invalid. Whether a term can be assessed and whether it is unfair require application of the relevant rules.

6 Agreement and bargaining power

A classical account often starts from parties choosing their obligations. In practice, a consumer may be offered a standard contract with little opportunity to negotiate. A person can agree to a transaction while having limited influence over its wording.

This helps explain why modern law combines respect for agreements with protective rules. When analysing a contract, ask both what the parties agreed and whether the law permits that term to have the claimed effect.

A simple question to ask

"We both signed it" is evidence of agreement, but it is not the end of every legal inquiry. Identify the particular obligation, then consider any rule affecting its validity or enforceability.

Exchange: Promises and Performance

7 Exchange does not mean equal value

A party may provide money, goods, services or a promise of future performance in return for another promise. The Latin expression **quid pro quo** means something for something. It is a helpful starting point, although the legal doctrine of consideration has more detailed rules.

Consideration must be legally sufficient, but need not be economically adequate. **Sufficient** means recognised by law as consideration; **adequate** asks whether its economic value matches what is received. A bicycle worth £100 can be sold for £40 without that inequality alone preventing a contract.

A bare promise to give a bicycle for nothing normally lacks consideration and is not enforceable as an ordinary simple contract. That is different from asking someone to perform a service in return for the bicycle.

8 Bilateral and unilateral contracts

TYPE	HOW THE EXCHANGE WORKS
Bilateral: promise for promise	A designer promises to create a logo; a shop promises to pay £300. Each undertakes an obligation before performance.
Unilateral: promise for an act	An owner offers £100 to someone who returns a lost cat. Acceptance occurs through the specified performance, rather than a promise to search.

In the reward example, a reader is generally free to ignore the offer. Merely saying “I will look” does not complete acceptance of an offer requiring return of the cat. The requested act supplies the exchange; a unilateral contract is not an exception that automatically dispenses with consideration.

9 Carlill v Carbolic Smoke Ball Co

In *Carlill* [1893] 1 QB 256, a company advertised a £100 reward for people who developed influenza after using its product as directed. Mrs Carlill used it as required and nevertheless became ill. The Court of Appeal treated the promise as a serious unilateral offer. Performance supplied acceptance and consideration.

Outcome: Mrs Carlill won. The company’s appeal was dismissed, and she was entitled to the £100.

Lesson: an exchange can be established by performing the requested act; it need not consist of two advance promises.

The terms determine the required performance. Do not assume that every advertisement is an offer or that every attempted action completes acceptance.

Analysis and Legal English

10 Read the bargain in five steps

Identify the parties. Who is making a commitment to whom?

Identify the obligations. What must each party do?

Identify the exchange. Is something promised or performed in return?

Find agreement. Is acceptance by promise or by the requested act?

Check the limits. Consider intention, capacity, certainty, statutory rules and any required form.

11 Essential vocabulary

TERM	PLAIN ENGLISH MEANING
Freedom of contract	The ability to choose contractual commitments, subject to law.
Obligation / term	A legal duty / a provision stating part of the bargain.
Consideration	Something of value given or promised in exchange for a promise.
Bilateral / unilateral	Promise exchanged for promise / promise exchanged for an act.
Enforceable	Capable of being given legal effect through an appropriate remedy.
Breach	Failure to perform a contractual obligation as required.

12 Check your understanding

1. Does agreement alone make every contractual term enforceable?
2. Must the two sides of an exchange have equal market value?
3. A reward requires return of a lost cat. Is a promise to search enough to complete acceptance?
4. Who won in *Carlill*, and what did the case show?

Answers: 1. No; legal limits and other requirements must be considered. 2. No; legal sufficiency is different from economic adequacy. 3. No; the offer requires the specified act. 4. Mrs Carlill; performance can accept a unilateral offer and provide consideration.

Authorities and source material

Carlill v Carbolic Smoke Ball Co [1893] 1 QB 256: judgment. Consideration and value: *Chappell & Co Ltd v Nestle Co Ltd* [1960] AC 87.

Consumer Rights Act 2015, section 62: legislation. Historical discussion: “The classical model of contract: the product of a revolution in legal thought?”, *Legal Studies*: article record.

Based on the supplied *Theory of Contracts* lesson. Examples are simplified for beginners; this guide concerns English law.